

Corporate Strategy and Economics Simulation

Session I: Introduction to MarkStrat

Sven Mikolon
Associate Professor of Marketing

Introduction to Markstrat

Agenda

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Course Structure

The Markstrat World

Managing Your Firm

Drivers of Success

Getting Started

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Getting Started

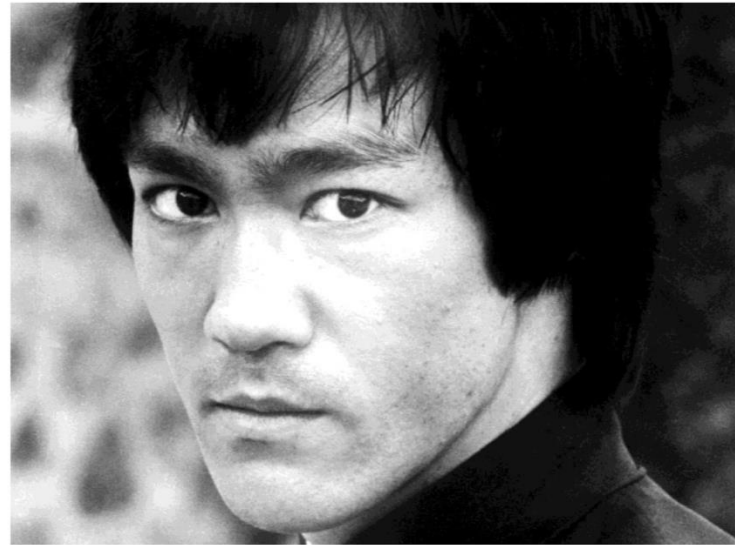
Introduction to Markstrat

Course Structure

Why a Business Strategy Simulation?

**"Knowing is
not enough.
We must apply.
Willing is not
enough. We
must do."**

Bruce Lee



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Course Structure

Why a Business Strategy Simulation?

- Markets evolve, data is noisy, competitors react.
- Frameworks and theory help you to structure complexity and make better decisions under uncertainty.

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The Markstrat World

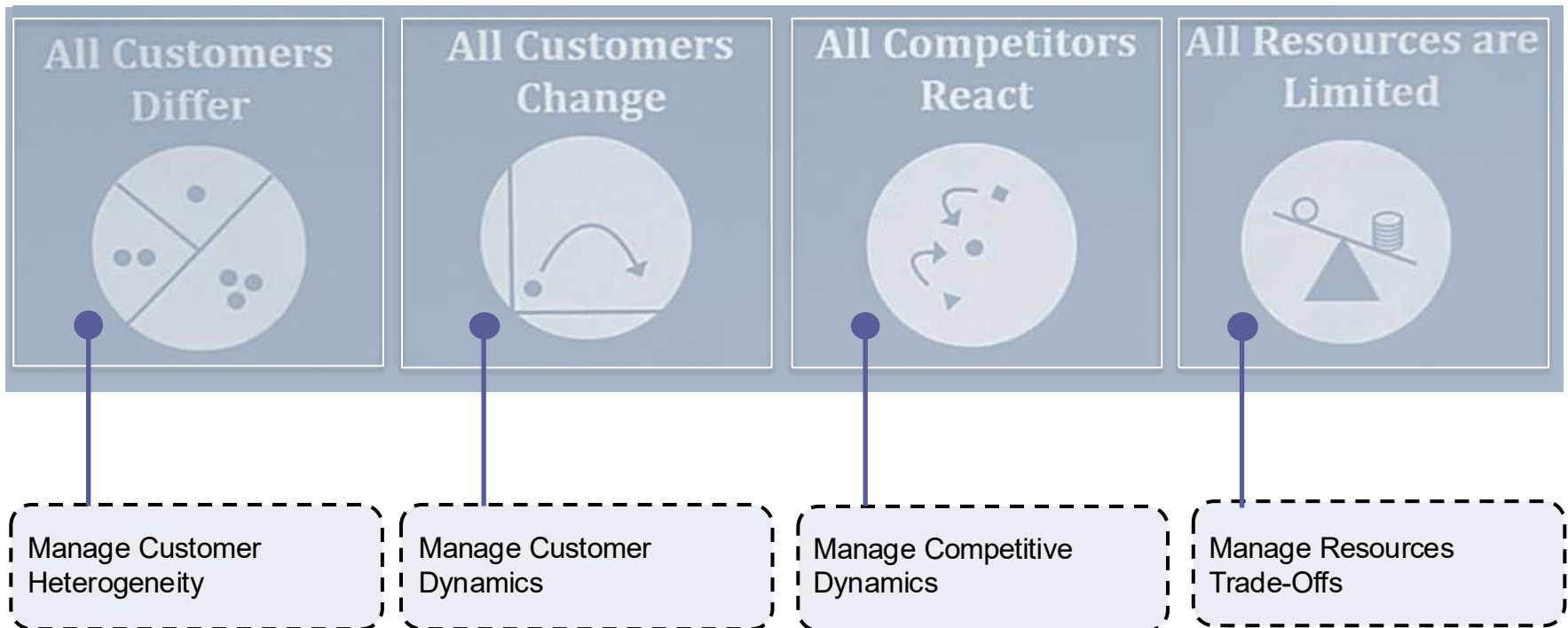
Which Domains?

- You will be required to execute the following elements of strategic decision-making in a company:
 - ✓ Setting prices
 - ✓ Allocating budget
 - ✓ Managing distribution channels
 - ✓ Managing production
 - ✓ Managing the product (R&D decisions, launch decisions etc.)
 - ✓ Targeting customers
- Lean Management:
 - ✓ You will be required to discover and develop customers through rapid market testing and continuous pivoting.

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What is Simulated?



Source: Palmatier and Sridhar (2018)

Introduction to Markstrat

The Markstrat World

Why Markstrat?

- Markstrat – leading simulation package
- Round-based (we play over 6 rounds/years)
- Rich simulation:
 - ✓ Launch new products
 - ✓ Set sales and distribution strategies
 - ✓ Launch R&D projects
 - ✓ Manage product portfolio
- Dynamic:
 - ✓ Dynamic consumer preferences
 - ✓ Competitors' actions and reactions determine outcome

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Your Role in the Simulation

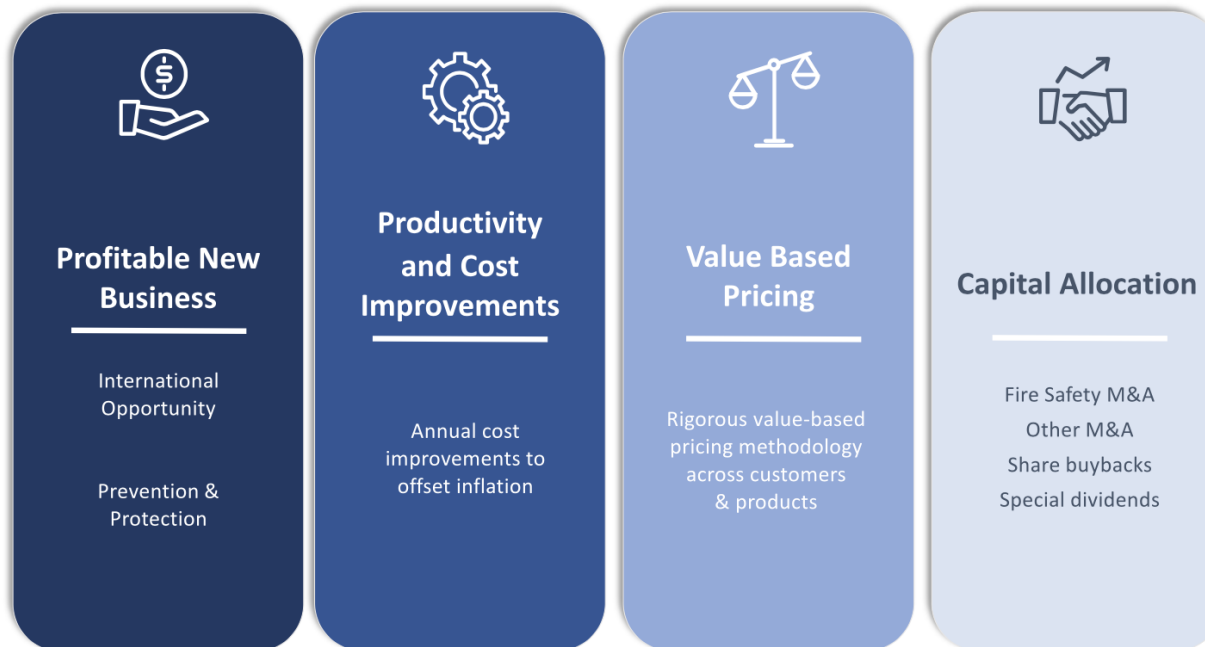
- Your team **manages** a large corporation in the B2C sector for the next 6 years
- Each team will compete **against 3 other teams**
- Your goal is to **maximise the stock price index** of your firm
- Expectations in 3 keywords: Autonomy, professionalism, and flexibility

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Your Role in the Simulation

Engage in actions that are aimed at creating a sustainable competitive advantage so that you can create value for your shareholders.



Source: Perimeter Solutions

Introduction to Markstrat

Course Structure

1 Lectures:

1. Introduction to Markstart
2. Targeting Your Customers by Using R&D
✓1.5 hour lecture
3. Moving Forward by Looking Back
✓2 hour lecture
4. Champions Day
✓1.5 hour lecture

“How-to-
Knowledge”

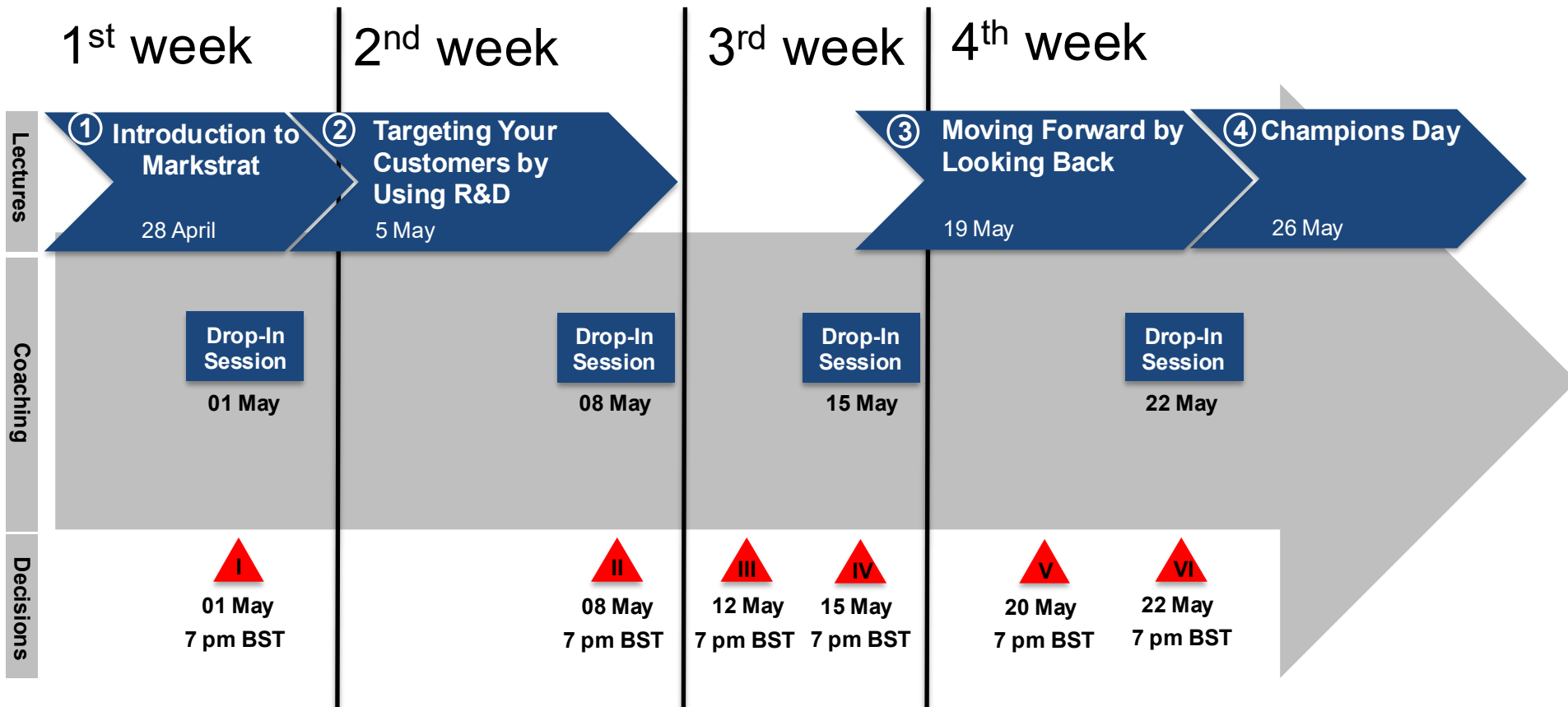
2 Drop-In Sessions (voluntary)

- ✓ Team coaching
- ✓ Support in dealing with Markstrat
- ✓ Advice on your strategy

Application

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Course Structure



Introduction to Markstrat

Course Structure



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1st coaching session: Friday, 1st May

Stream 2 09:00 – 13:00 (15 min per team)

Stream 1 14:00 – 18:00 (15 min per team)

[Book a Session](#)

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Course Structure

	A	B	C	D
1	Stream 2	Team		
2	9:00-9:15			
3	9:15-9:30			
4	9:30-9:45			
5	9:45-10:00			
6	10:00-10:15			
7	10:15-10:30			
8	10:30-10:45			
9	10:45-11:00			
10	11:00-11:15			
11	11:15-11:30			
12	11:30-11:45			
13	11:45-12:00			
14	12:15-12:30			
15	12:30-12:45			
16	12:45-13:00			
17				
18	Stream 1	Team		
19	14:00-14:15			
20	14:15-14:30			
21	14:30-14:45			
22	14:45-15:00			
23	15:00-15:15			
24	15:15-15:30			
25	15:30-15:45			
26	15:45-16:00			
27	16:00-16:15			
28	16:15-16:30			
29	16:30-16:45			
30	16:45-17:00			

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Assessment

Your mark for this part of the module will be made up as follows:

Performance in simulation: 30%

(50% Relative-to-industry-score)

(50% Relative-overall-score)

Final report: 70%

Check out group assignment brief on Insendi!

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Course Structure

Final Report (Group Work)

- **Content:** 2000 words
- Content may be about:
 - Reflection on your overall long-term strategy
 - Why did you achieve this excellent (or poor) performance of your firm?
 - What have been key decisions and why did they pay off or why did they not pay off?
 - Explanation of actions that went poorly to show an understanding why your performance was not as good as it could have been.
- **Submission deadline: 8th June, 4pm BST via Insendi**
- **Check out group assignment brief on Insendi!**

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Excellent Final Reports

- Well-structured
- Clear flow of thought
- High quality of arguments (e.g., through including analyses based on frameworks you have learned in the ESB program so far and based on your own learning)

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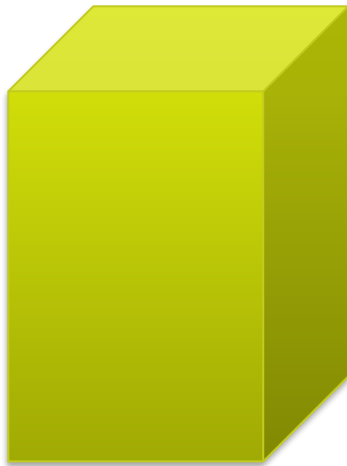
- ▶ A large territory with a highly developed economy
- ▶ Inflation and GNP growth are fairly stable
- ▶ No major political, social or economic event is anticipated in the near future
- ▶ Currency: Markstrat Dollar (\$)



- ▼ Each team will manage one of 4 competitors in a given industry.
- ▼ All firms start in the same situation
 - Product specification, target consumers, brand awareness levels, market share, distribution coverage, profitability, R&D expertise, ...

Each firm can compete in up to two product categories

- You can market up to 5 brands in each category at a given time



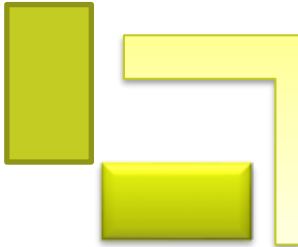
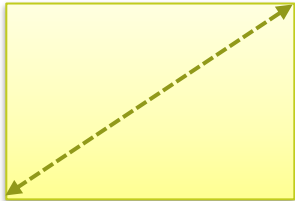
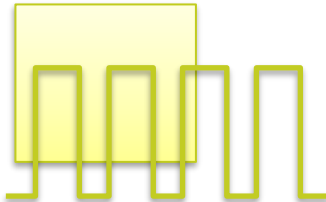
SONITES

- Independent
- Not substitute
- Not complement

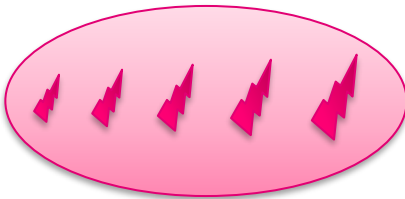
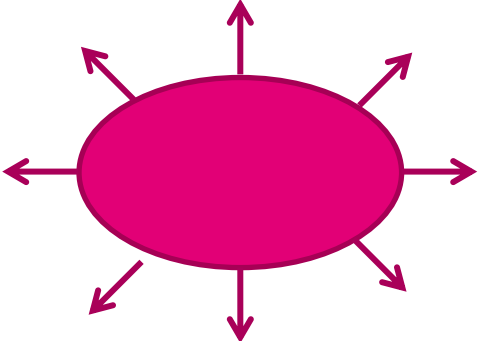
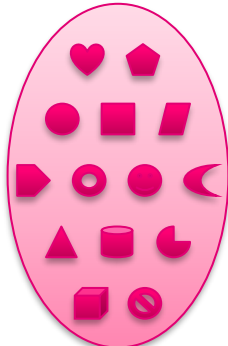


VODITES

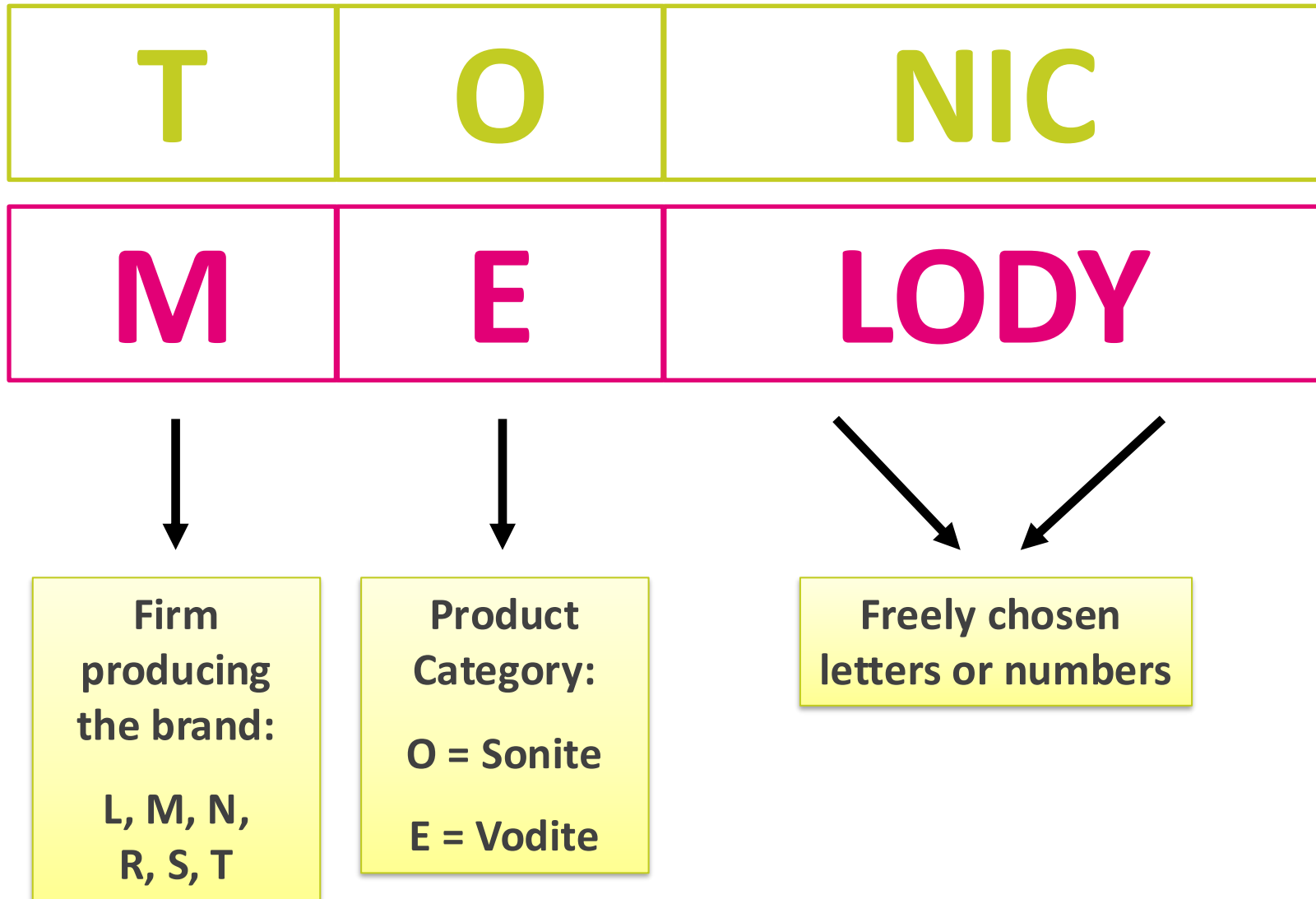
Sonite brands are already marketed, each characterized by 6 main attributes

Number of Features 10 – 20	Design Index 3 – 10	Battery Life 24 – 96 Hours (H)
		
Display Size 4 – 40 Inches (")	Processing Power 5 – 100 Gigaflops (Gflops)	Base Cost Minimum \$10
		

No Vodites exist yet. experts believe that they will be characterized by

Resolution 20 – 100 lines/mm	Energy Efficiency 10 – 100 bio computations/Wh	Carbon Footprint 5 – 50 Kg
		
Connectivity Index 3 – 10	Number of Apps 5 – 100	Base Cost Minimum \$10
		

It is easy to recognize the origin of the brands from their names



Sonite consumers can be classified into 5 segments



Sh Shoppers



Pr Professionals



Ex Explorers



Sa Savers



Hi High Earners

Sonite consumers can be classified into 5 segments

EXPLORERS (Ex)

- Highly interested in Sonite product
- Demand high performance products
- Quite price sensitive

PROFESSIONALS (Pr)

- Personal and professional usage
- Look for high quality, high-performance and easy-to-use products
- Can afford expensive products

SHOPPERS (Sh)

- Good product knowledge through extensive product comparison.
- Demand high quality-price ratio
- Quite price-sensitive.

HIGH EARNERS (Hi)

- High income level
- Demand performance and convenience
- Purchase expensive products

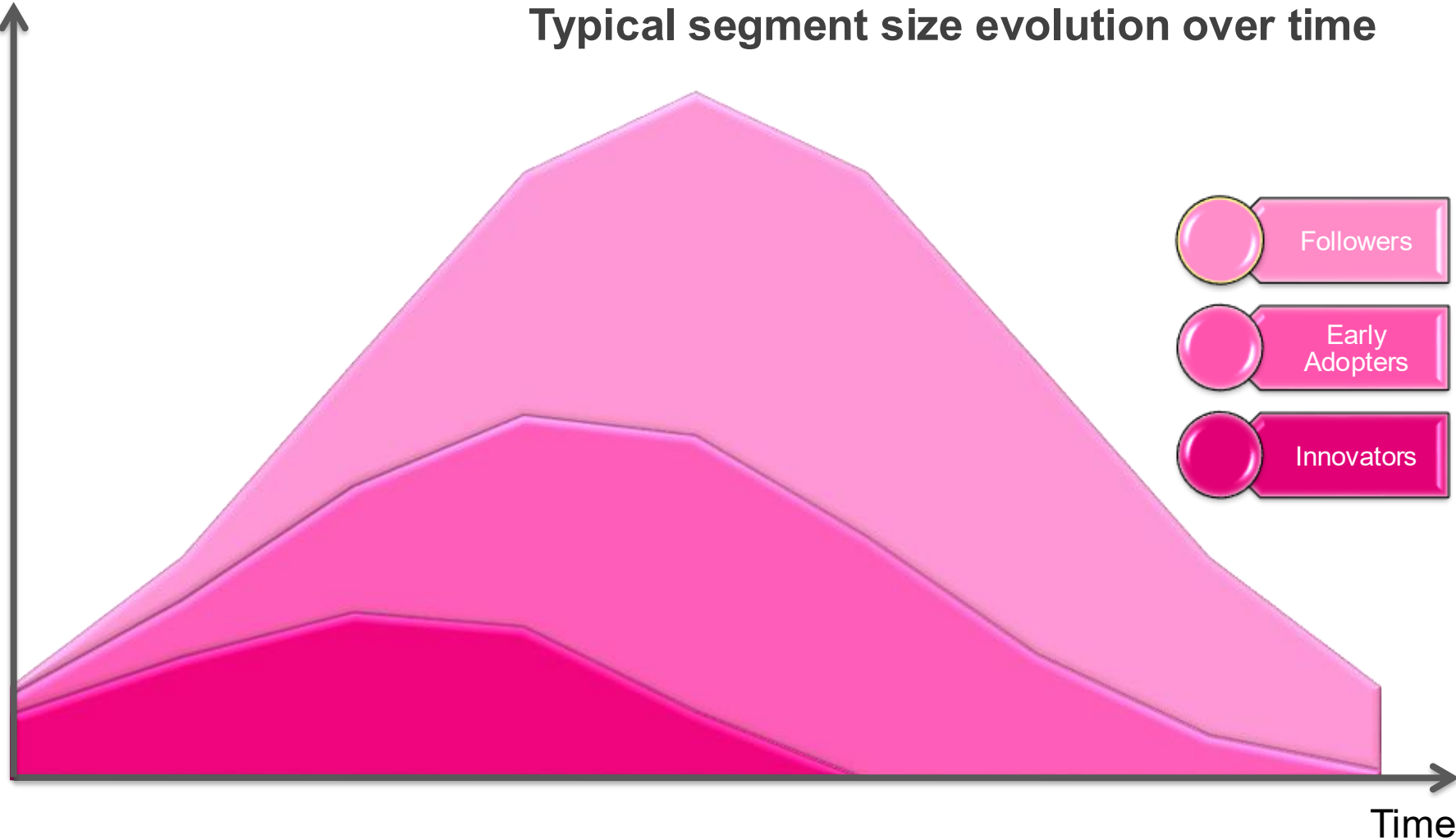
SAVERS (Sa)

- Cautious in the way they spend their money
- Demand cheap, low-performance, average convenience products

Initial studies have pointed to a different segmentation scheme for Vodites

Sales

Typical segment size evolution over time



▼ Sonite & Vodite customers use three distinct distribution channels:



Important because:

- ▼ Influences the availability of your products
- ▼ There are consumer shopping habits (check out consumer survey)
- ▼ Influences your margins

- ▼ Maximize your Stock Price Index
 - All competitors start with a SPI = 1000
- ▼ The main factors driving the Stock Price Index are:
 - Profitability
 - Growth in revenues
 - Growth in market share
 - Cumulative net contribution
 - R & D investments
- ▼but the main objective is to LEARN!

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Getting Started

Introduction to Markstrat

Managing Your Firm



Marketing Mix

- Production planning
- Pricing
- Advertising & segmentation strategy



Commercial Team

- Size of commercial team
- Allocation across distribution channels
- Allocation across marketed brands



Market Research

- Ordering industry-wide market studies
- Ordering market-specific market studies

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Managing Your Firm

en	Period 0	\$ + 271 K\$	Budget, Expenditures & Deviation		
			Authorized budget	\$7,400	40% of previous year EBT, with a minimum of \$7m and a maximum of \$26m (in p 10)
			Capital borrowed	-	
			Budget change	-	
			Available budget	\$7,400	Total available budget
			Advertising expenditures	\$4,260	Expenses generated by your decisions
			Commercial expenditures	\$2,371	
			Research & Development	-	
			Market research studies	\$498	Deviation from budget. Should always be positive or equal to 0
			Total expenditures	\$7,129	
			Budget deviation	\$271	

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Managing Your Firm

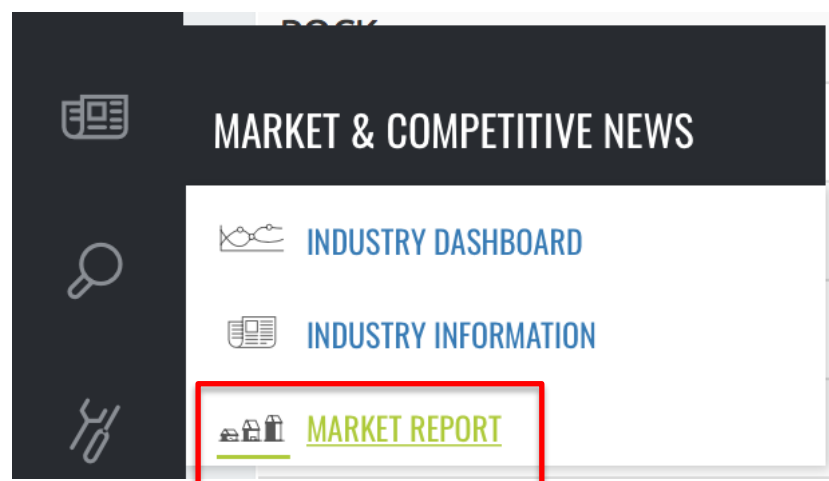
Setting Prices

- When making pricing decisions you should take:
 - Your costs of manufacturing
 - Consumers' expectation
 - Competitors' prices into consideration

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Managing Your Firm

Setting Prices



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Managing Your Firm

Setting Prices



MARKET REPORT

Brand Characteristics

The table below lists the physical attributes of marketed brands, as well as their price and estimated unit cost, both in \$.

Brand	Launched in	Features (1)	Design (2)	Battery (3)	Display (4)	Power (5)	Price	Base Cost (\$)	Base Cost (%Price)
MOST	Period 0	8	5	53	8	10	250	63	25 %
MOVE	Period 0	13	4	82	17	43	380	142	37 %
ROCK	Period 0	14	9	89	33	76	495	219	43 %
ROLL	Period 0	13	4	78	38	95	550	241	43 %
SOFT	Period 0	7	4	53	8	15	225	60	26 %
SOLO	Period 0	7	6	60	11	38	340	103	30 %
TONE	Period 0	16	10	74	24	76	535	223	41 %
TOPS	Period 0	10	4	35	36	91	405	166	40 %

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Managing Your Firm

Setting Prices

- You set a recommended retail price (\$400)
- This price is unequal to the selling price

	Specialty Stores	Mass Merchandisers	Online Stores
Average Discount	None	10% – \$40	5% – \$20
Actual retail price	\$400	\$360	\$380
Distribution margin	40% – \$160	30% – \$108	30% – \$114
Selling price	\$240	\$252	\$266
Transfer cost	\$125	\$125	\$125
Unit gross contribution	\$115	\$127	\$141

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Managing Your Firm

Making Production Planning Decisions

- A production plan must be submitted each period for each brand
- From one period to the next, production plans may be increased or decreased without any penalty

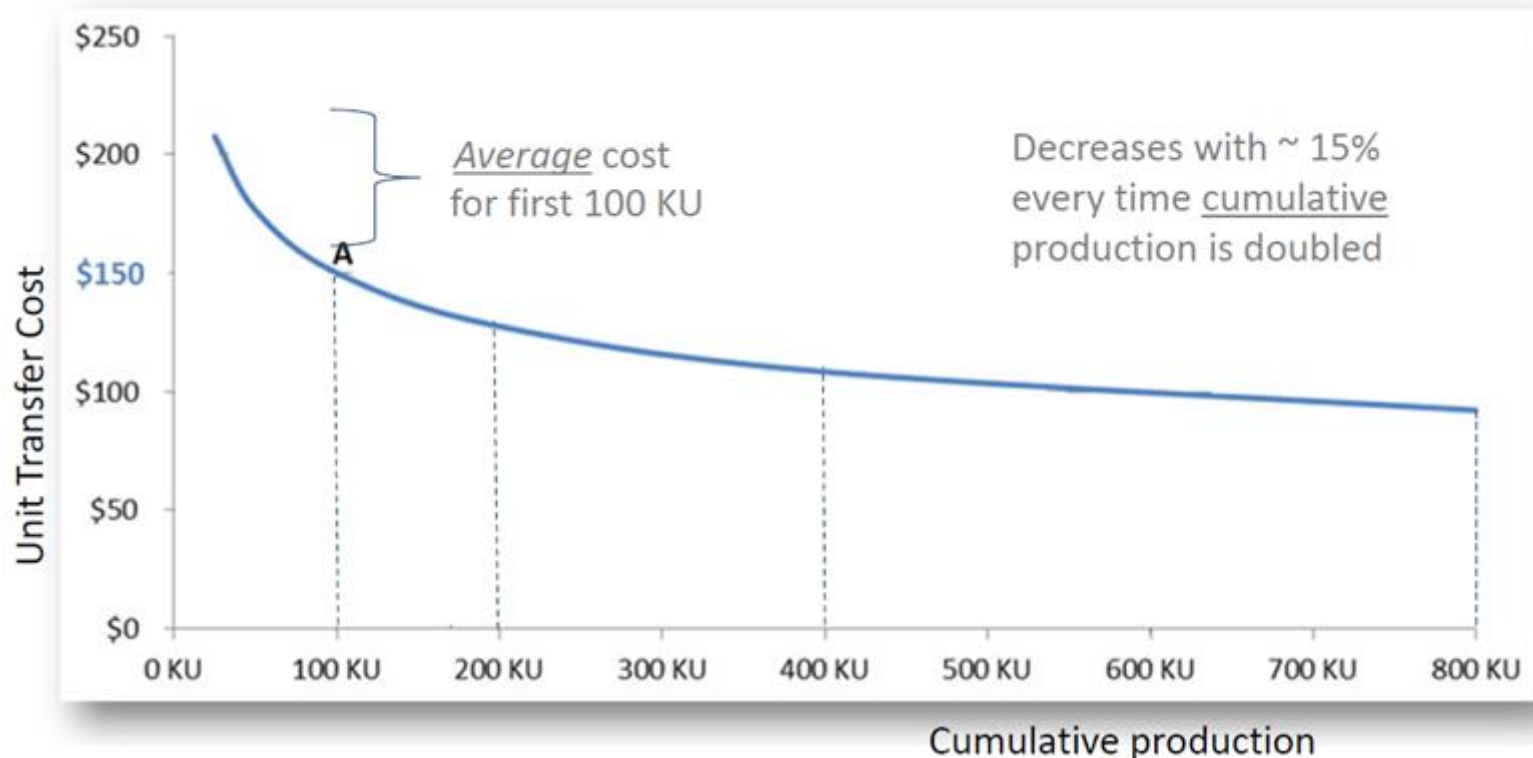
Unit transfer costs depend on:

- Base cost (product characteristic)
- Experience (cumulative production)
- Inflation

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Managing Your Firm

Making Production Planning Decisions



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Making Production Planning Decisions

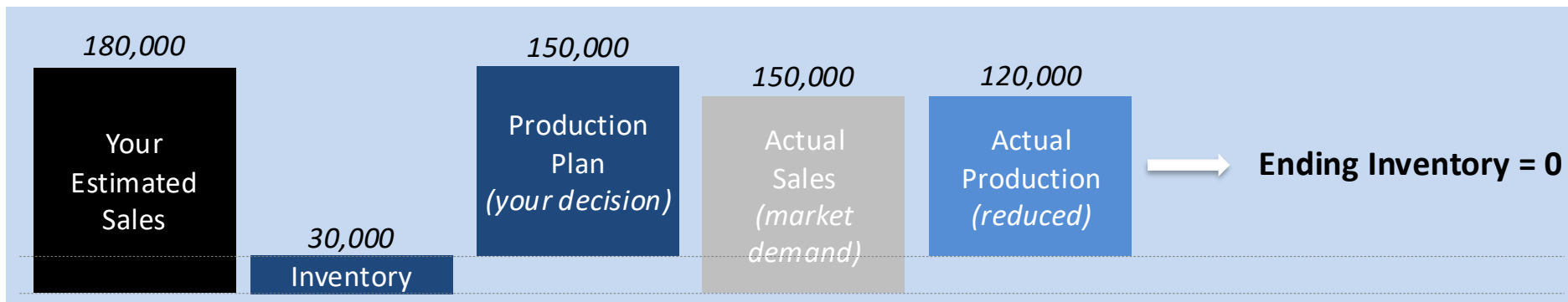
- A production plan should take into account:
 - The expected sales for the brand
 - The existing inventory at the beginning of the period
 - The flexibility of the production department
- Actual production levels are automatically adjusted in response to actual demand by plus or minus 20%

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Making Production Planning Decisions

Actual production levels are automatically adjusted in response to actual demand by plus or minus 20%



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Making Production Planning Decisions

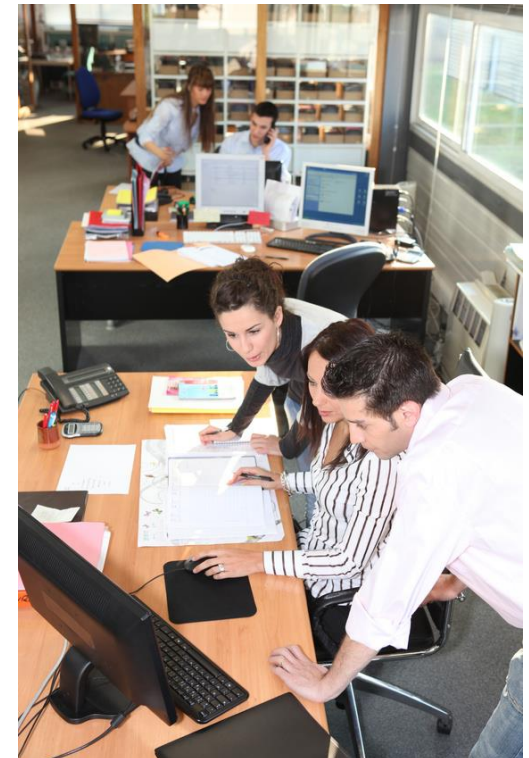
- There are inventory holding costs (8% of the average unit transfer costs; check out production report)

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Managing Your Firm

Commercial Team Decisions

- You decide the size of your commercial team for each channel and brand
- Your commercial team is responsible for obtaining and entering orders, and for supporting distributors:
 - Visit stores, distributors and wholesalers
 - Enroll customers in trade programs
 - Help stores organize and conduct promotions
 - Take orders and handle out of stock situations
 - Participate to trade shows
- Cost is proportional to the number of allocated people



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Managing Your Firm

Commercial Team Decisions

TEAM IDENTITY

RESEARCH & DEVELOPMENT

BRAND PORTFOLIO

MARKETING MIX

COMMERCIAL TEAM

MARKET RESEARCH STUDIES

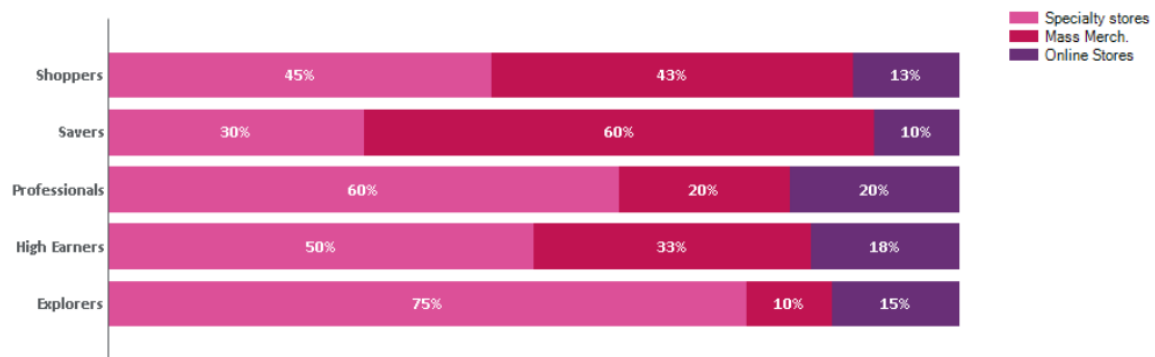
MARKETING PLAN

DECISIONS REVIEW

	Specialty Stores	Mass Merch.	Online Stores	Total
MOST	10	15	10	35
MOVE	15	10	10	35
TOTAL	25	25	20	70

Shopping habits

CONSUMER SURVEY &
PANEL



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Managing Your Firm

Run Experiments

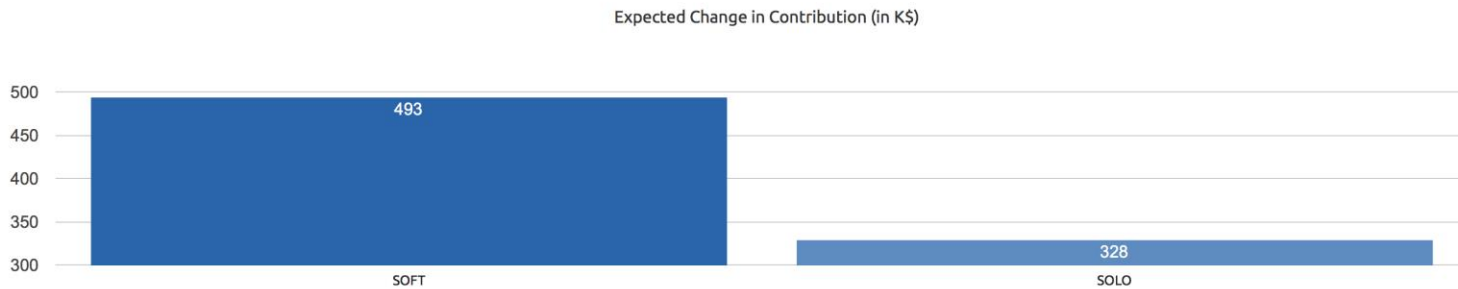


EXPERIMENTS

COMMERCIAL TEAM EXPERIMENT – SONITES MARKET – PERIOD 1

This experiment is set up by increasing the number of commercial people per channel in a selected regional market. The results of the study are used to project the additional number of distributors and the market share that would have been achieved nationwide by each brand with the same increase in commercial team and if competitive actions have remained unchanged. The impact on brand contribution is provided as well.

The results below would have been achieved if the number of salespeople had been increased by 10 in each channel and if competitive actions had remained unchanged.



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Managing Your Firm

Advertising Decisions

Must be made each round for each brand...

- ..to create brand awareness
- ..to make consumer familiar with product characteristics and price
- ..to create market entry barriers



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Managing Your Firm

Advertising Decisions

Media budget : to purchase media space and time

Research budget : to improve the quality / persuasive power of your message

Segmentation Strategy:
Indicate which consumers should be targeted

Advertising

Enter below your advertising media and research budgets for brand MOST, in thousands of \$. The advertising budget of brand MOST in Period 0 was \$ 1 500k.

Media	Research	Total
1440	60	1500

Indicate also how you want to allocate these budgets across consumer segments.

Explorers	Shoppers	Profs	High Earners	Savers	Total
15	25	10	10	40	100

- Spend between 4%-8% of your total budget to purchase media space and time
- Spend 4% of this amount on ad.-research

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Managing Your Firm

Run Experiments



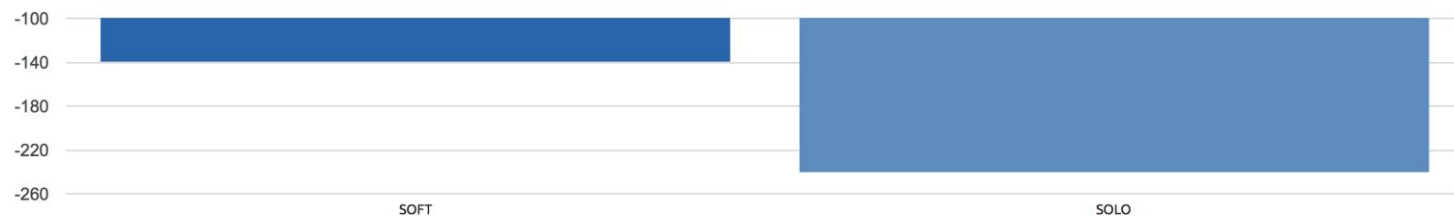
EXPERIMENTS

ADVERTISING EXPERIMENT – SONITES MARKET – PERIOD 1

This experiment is conducted by increasing advertising budgets in a selected regional market. The results of the study are used to project the level of awareness and the market share that would have been achieved nationwide by each brand with the same increase in advertising, and if competitive actions have remained unchanged. The impact on brand contribution is provided as well.

The results below would have been achieved by a given brand if its advertising budget had been increased by 20% and if competitive actions had remained unchanged.

Expected Change in Contribution (in K\$)



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Market Research Reports



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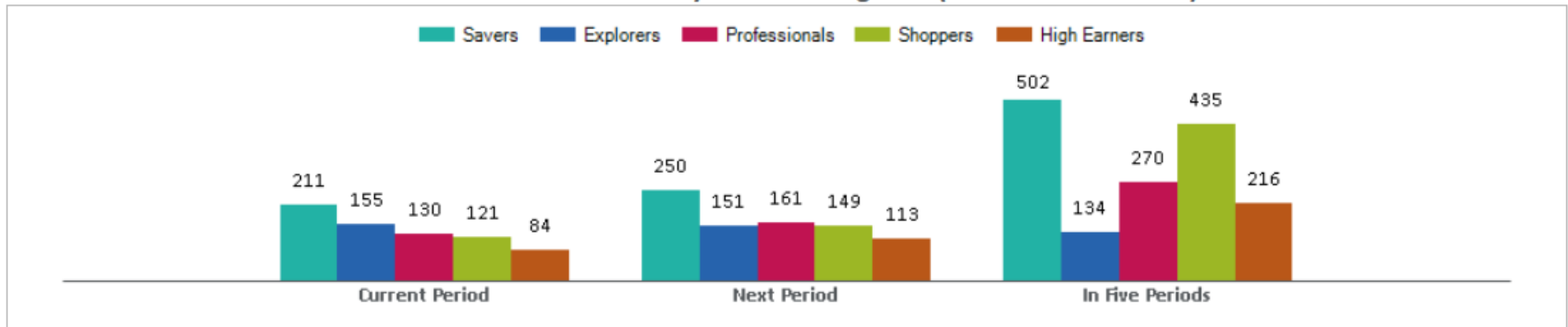
Managing Your Firm

Market Research Reports: Market Forecast

Market Size by Consumer Segment

The charts below show the actual market size this period and the expected market size in one and five periods. Results are broken down by segment. Relative segment size, in % of the total market size, and segment growth rates are reported as well. Sizes are given in thousands of units.

Market size broken down by consumer segment (in thousands of units)



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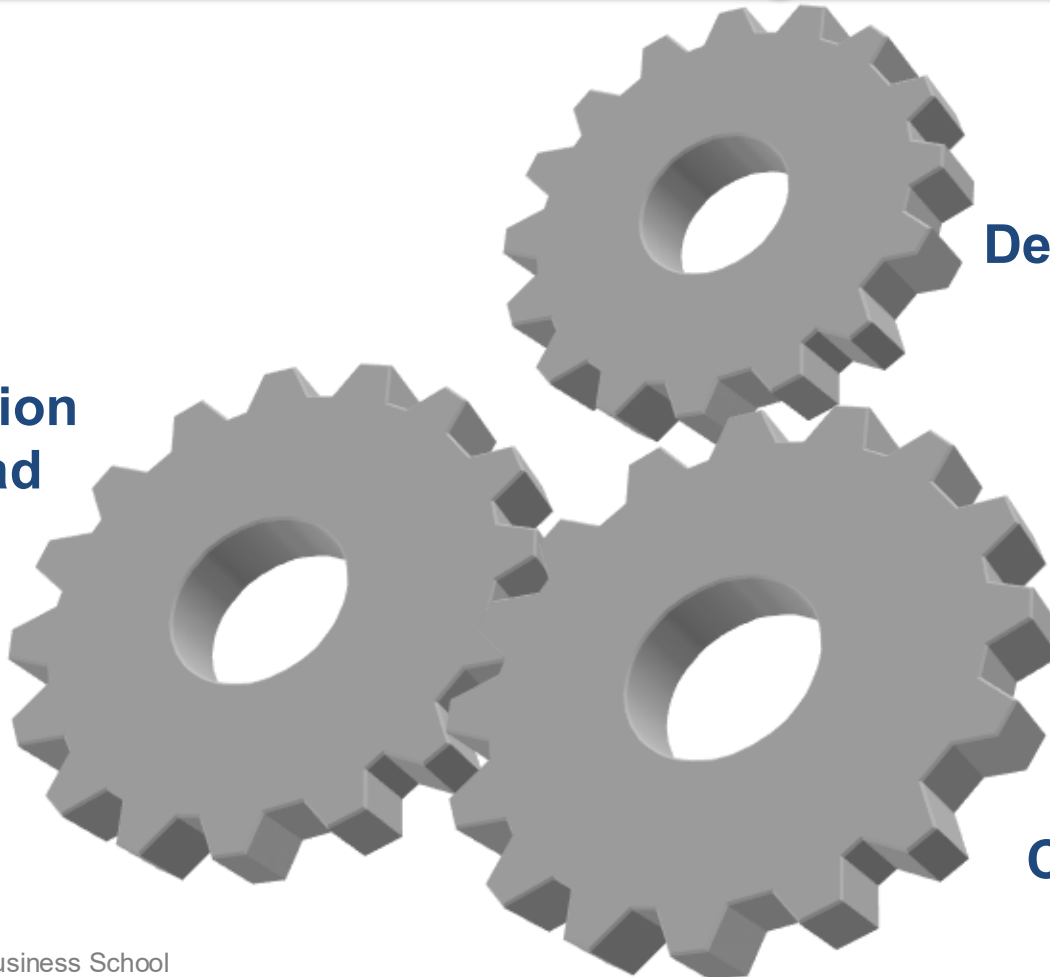
Drivers of Success

Three Challenges

**Information
overload**

**Informed
Decision-Making**

**Conflicting
opinions**



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Drivers of Success

Manage the Group – Enacting Lean Management

- Put your honest thoughts out on the table
- Have thoughtful disagreement in which people are willing to shift their opinions
- Have agreed-upon ways of deciding (e.g., voting, having clear authorities) if disagreements remain so that you can move beyond them without resentment

Based on “Principles” by Ray Dalio (2017), p. 64.

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Drivers of Success

Drivers of Success

- Manage information
- First round heuristic decision-making
- Move to more rule based and analytical decision-making starting in round 2
- Anticipate competitors' moves



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Drivers of Success

Here is a Tip

Comparing purchase intentions with market shares at the end of the period can give you a feeling for how many sales you have lost



Competitors

“Order-book”

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Drivers of Success

Here is a Tip

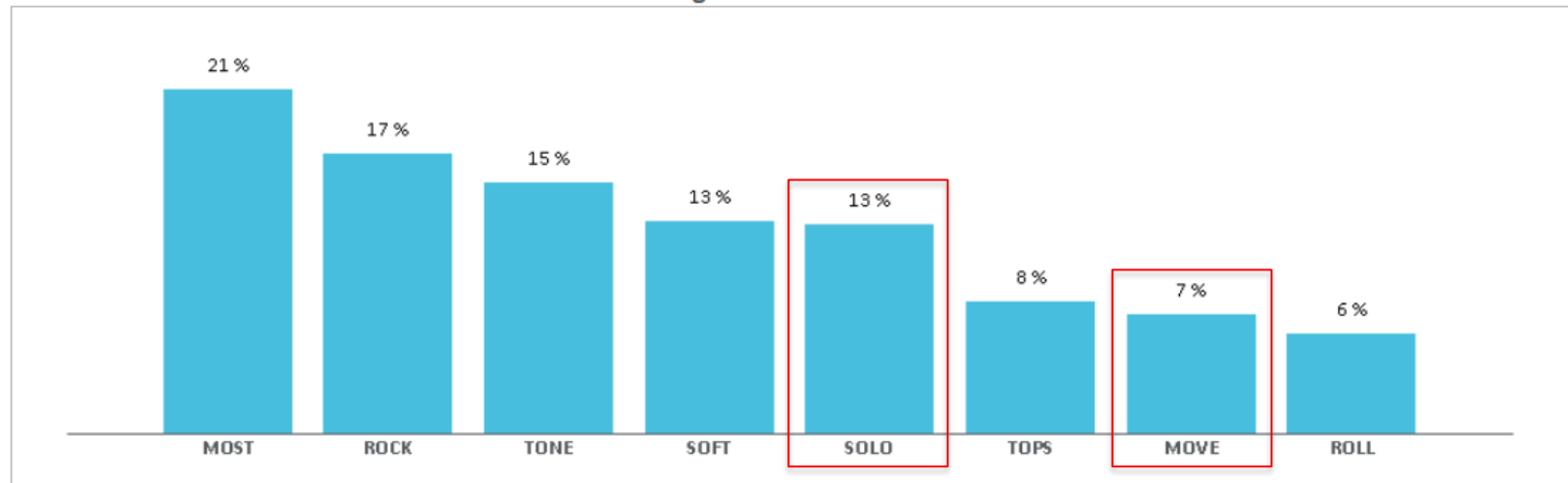


CONSUMER SURVEY &
PANEL

Purchase Intentions

The purchase intentions figures in the chart and table below represent the proportion of individuals who would select a brand as their first choice, if they were buying within a year. The report gives the information for each brand currently on the market, in total and by consumer segment. Please note that these figures correspond to the situation of the period when the study is done and does not necessarily represent purchase intentions for the following year.

Average Purchase Intentions



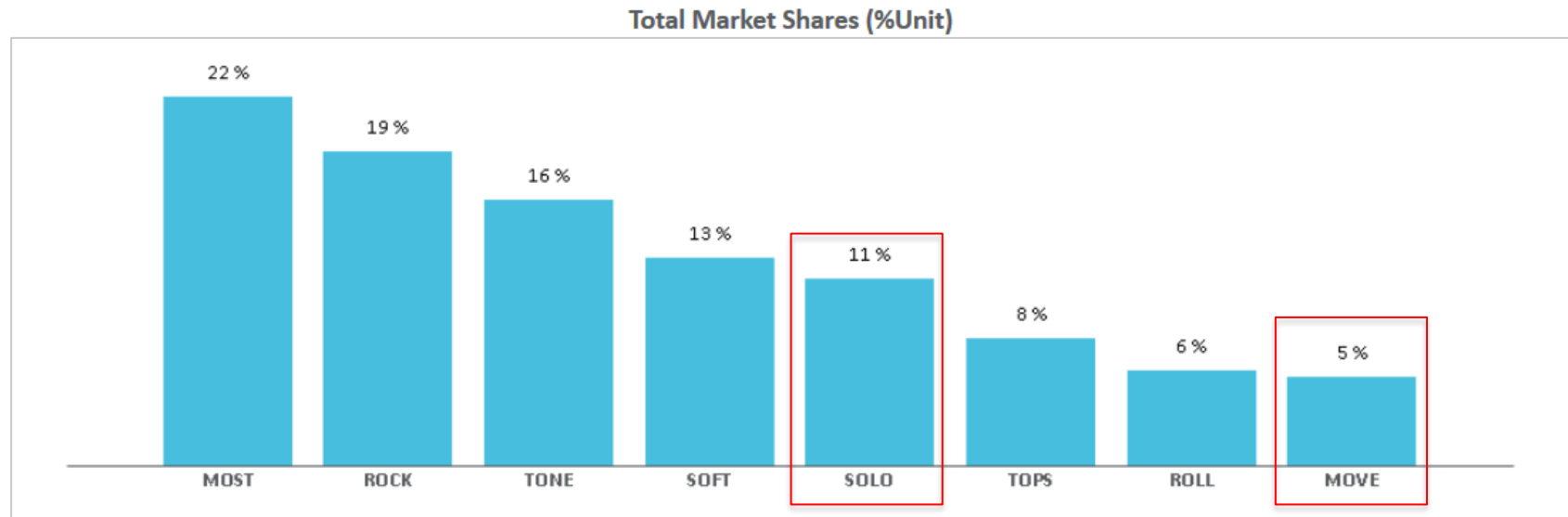
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Drivers of Success

Here is a Tip

Market Shares (Based on units sold)

The market shares figures in the chart and table below represent the proportion of individuals who have purchased a given brand during Period 0. The report gives the information for each brand currently on the market, in total and by consumer segment



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Introduction to Markstrat

Getting Started

- Go to www.stratxsimulations.com

The screenshot shows the Stratx Simulations login interface. On the left is a dark blue sidebar with a 'Login' header and a 'Home' link. The main content area has the 'STRATX SIMULATIONS' logo at the top. Below the logo is a dropdown menu labeled 'You are : A Participant' which is highlighted with a red rectangle. To the right of this dropdown is a text box for 'Enter your Participant Activation Key (PAK):' with a 'Submit' button below it. A blue arrow points from a text box on the right to the PAK input field. The text box on the right contains the text: 'Provided by automated Email' and '**Different for everyone!**'. Below the PAK input field, there are two lines of text: 'If you do not have a PAK, click [here](#).' and 'If you have forgotten your PAK, click [here](#).' At the bottom, in red text, it says 'If you have purchased a PAK online and you have never received it by email, click [here](#)'.

STRATX
SIMULATIONS™

Login

▶ Home

You are : A Participant

Enter your Participant Activation Key (PAK):

Submit

If you do not have a PAK, click [here](#).

If you have forgotten your PAK, click [here](#).

If you have purchased a PAK online and you have never received it by email, click [here](#)

Provided by automated Email
Different for everyone!

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Getting Started

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marksTrat

PREPARE

NEED TO GET PREPARED ?

Read the handbook to learn more on the Markstrat Challenge - your role and your objectives - and on the Markstrat world (products, consumers, channels, ...)

[Read](#) [Print](#)

Read the operating instruction to learn more on how to operate Markstrat, to browse results, to make decisions, ...

[Read](#) [Print](#)

Preview the Markstrat team: browse through all charts and graphs and to review decision forms. Please note that input of decisions and decision runs are not available here.

[Preview Markstrat](#)

READY TO START ?

Fill in the fields below with the information given by your professor.

Participant Activation Key (PAK): [OK](#)

Industry Name: [v](#)

Team Name: [v](#)

Team Password:

[Access your Team](#)

Team specific

Will be provided to you when we start

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Getting Started



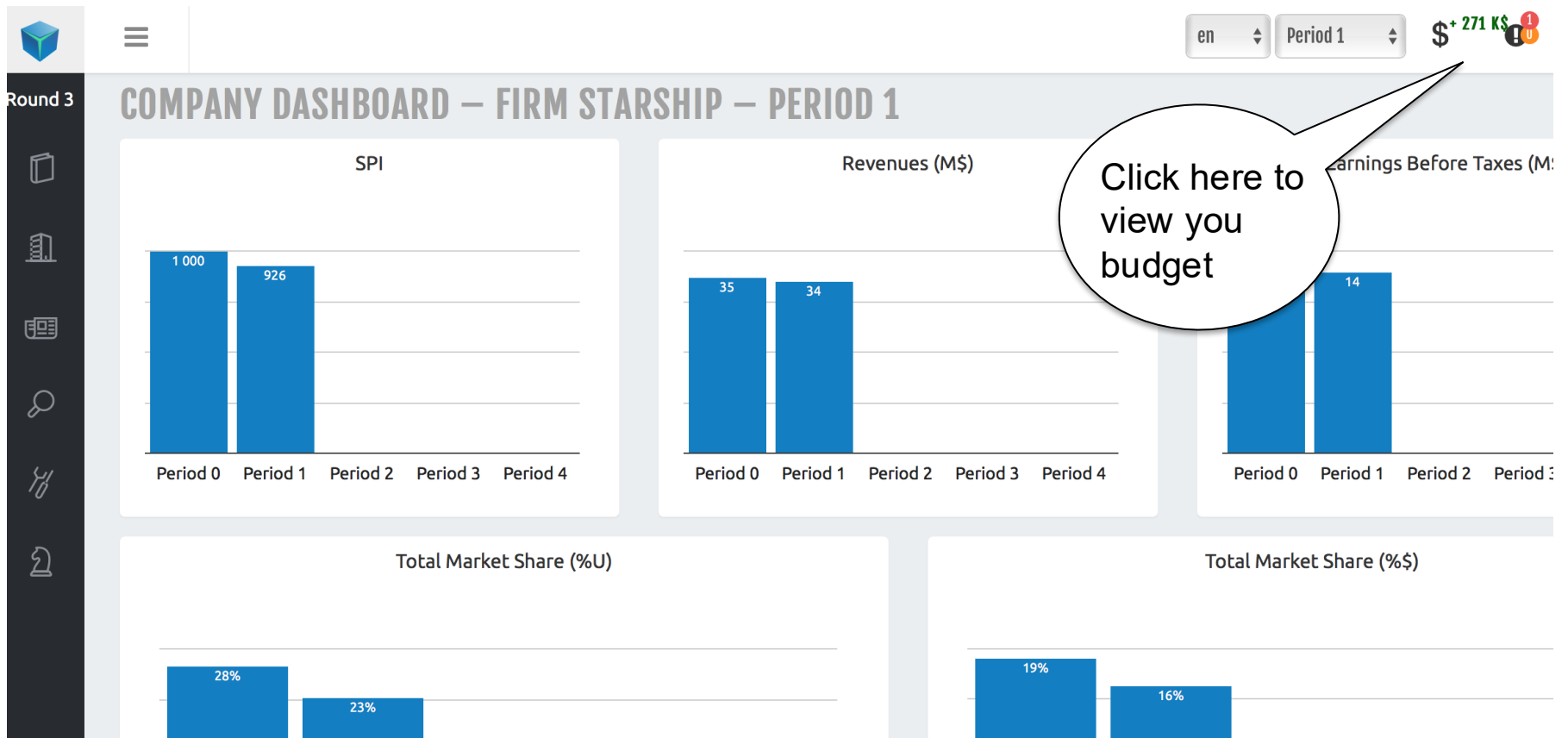
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Getting Started

- 1.) Familiarize yourself with your company (production report, segments you are strong in, market research reports)
- 2.) Choose a name for your firm
- 3.) Make marketing mix decisions
 - Pricing
 - Production
 - Advertising
 - Commercial Team
- 4.) Buy marketing research studies
 - Buy all reports for Sonites and decide on experiment

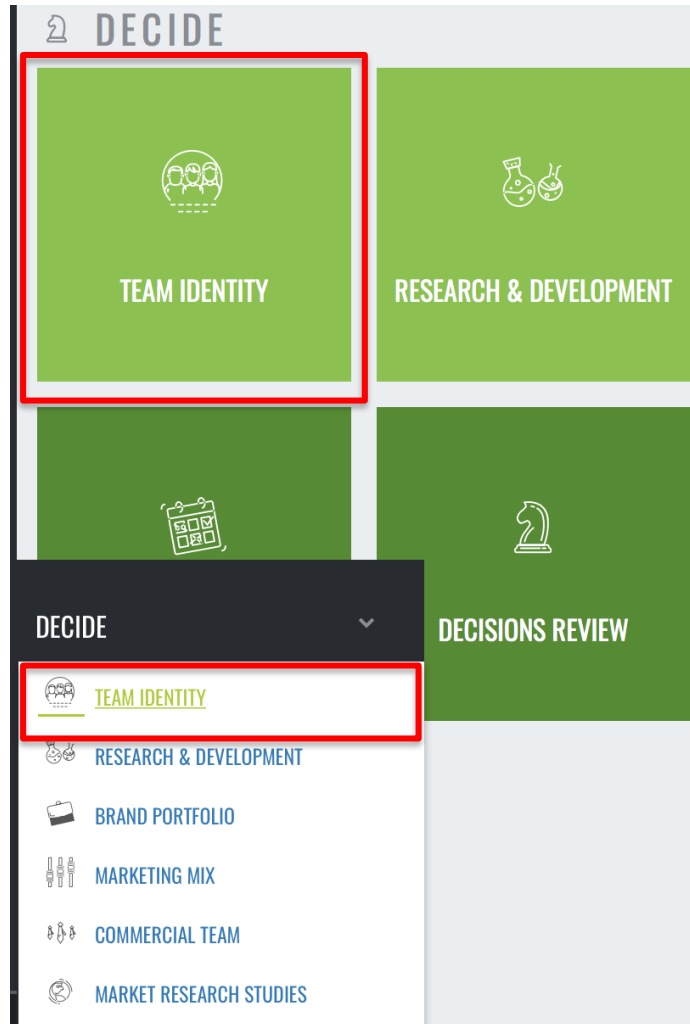
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Getting Started



Introduction to Markstrat

Getting Started



Introduction to Markstrat

Getting Started

Team Identity

Initially, the competing companies are identified by a unique letter such as L, M, N, R, S or T. Your first task will be to name your company, starting with this letter and reflecting the spirit of your team.

TEAM IDENTITY

Choose a name for your firm that reflects your team spirit. It must start with the letter 'S' and may be up to 8 characters long. Make sure to involve all your teammates in this choice. Beware, you will not be allowed to change your firm name once decision round 1 is over.

Team name	S	☒
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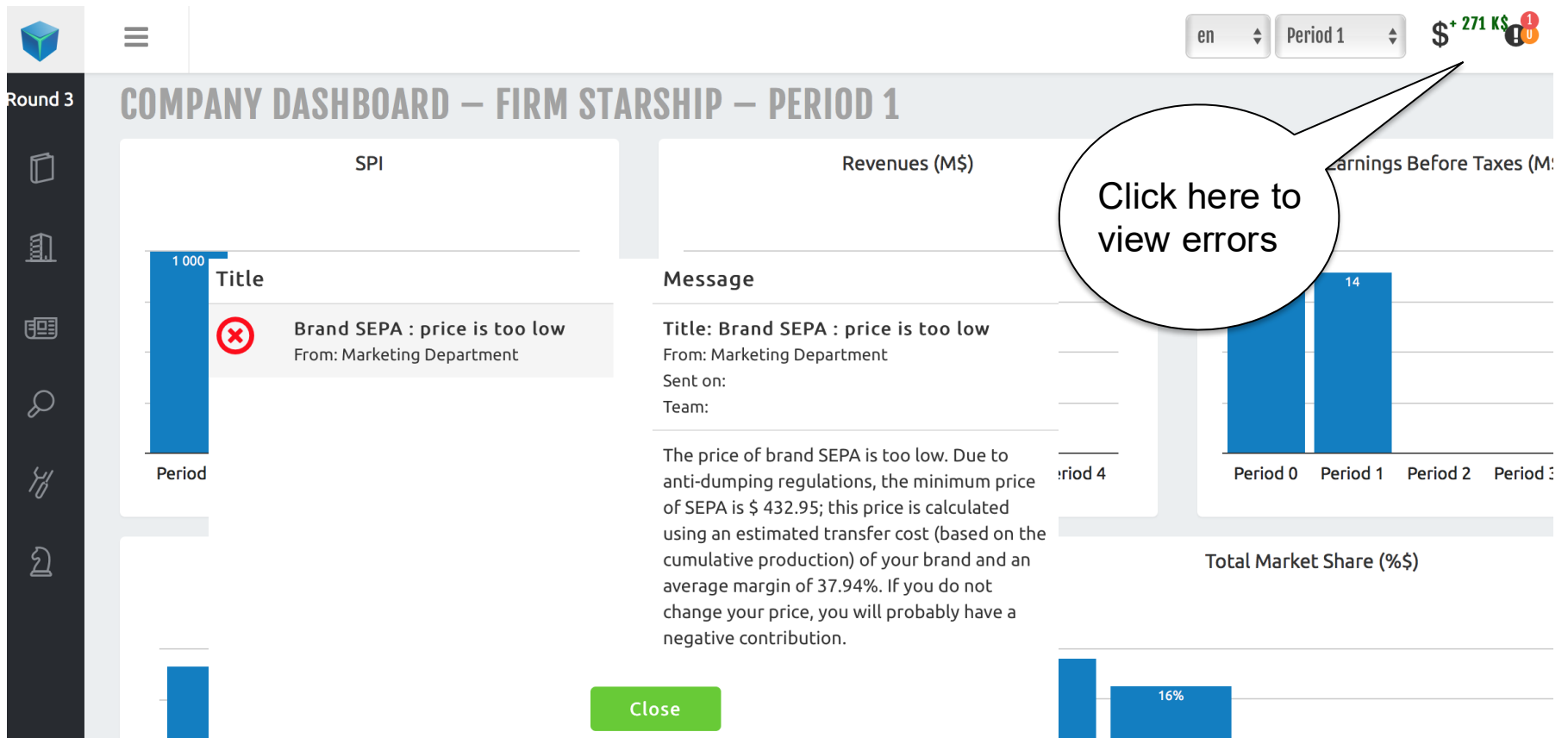
Introduction to Markstrat

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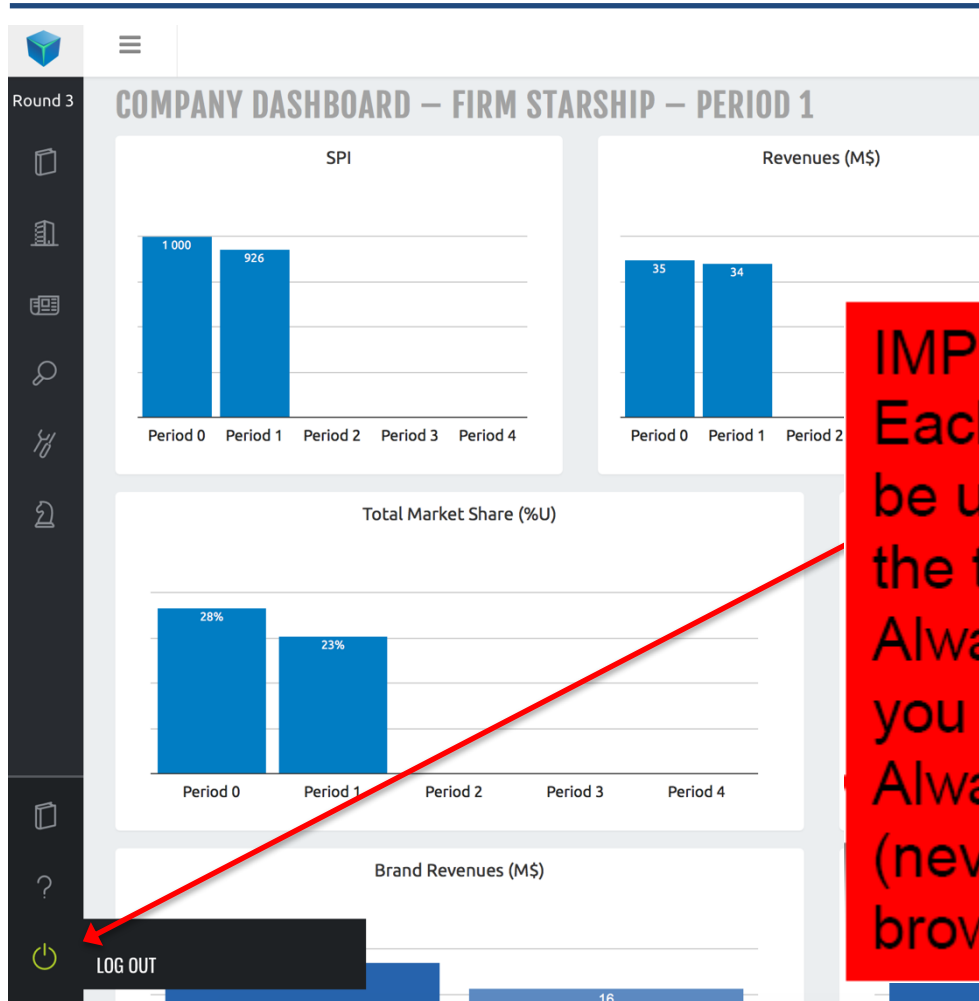
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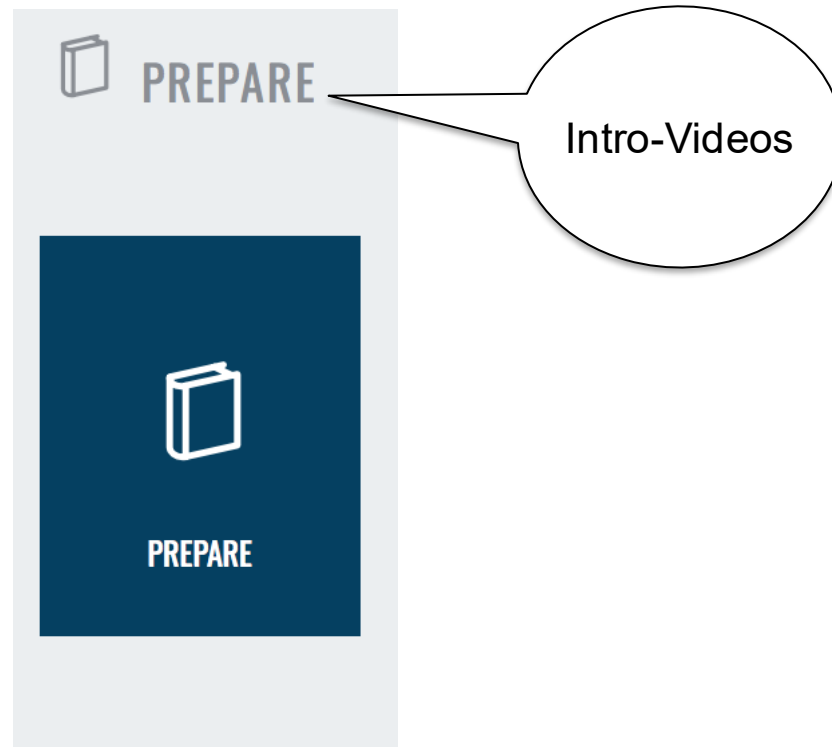
IMPORTANT:

Each decision form can only be used by one participant at the time!

Always close the screen when you are finished

Always use the 'logout' button (never only close your browser)

Introduction to Markstrat



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**Deadline for the
1st decision:
1st May, 7 pm BST.**

GOOD LUCK!